Coca-Cola Reports Second Quarter 2025 Results and Updates Full Year Guidance

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Global Unit Case Volume Declined 1%

Net Revenues Grew 1%;
Organic Revenues (Non-GAAP) Grew 5%

Operating Income Grew 63%;
Comparable Currency Neutral Operating Income (Non-GAAP) Grew 15%

Operating Margin was 34.1% versus 21.3% in the Prior Year;
Comparable Operating Margin (Non-GAAP) was 34.7% versus 32.8% in the Prior Year

EPS Grew 58% to $0.88; Comparable EPS (Non-GAAP) Grew 4% to $0.87

ATLANTA--(BUSINESS WIRE)-- The Coca-Cola Company today reported second quarter 2025 results. “Amid a shifting external landscape in the second quarter, the ability of our system to stay both focused and flexible enabled us to stay on course in the first half of the year,” said James Quincey, Chairman and CEO of The Coca-Cola Company. “We continue to execute with a clear intent on our priorities and are confident in our trajectory to deliver on our updated 2025 guidance and longer-term objectives.”

Highlights

Quarterly Performance

- **Revenues:** Net revenues grew 1% to $12.5 billion, and organic revenues (non-GAAP) grew 5%. Revenue performance included 6% growth in price/mix and a 1% decline in concentrate sales. Concentrate sales were in line with unit case volume.

- **Operating margin:** Operating margin was 34.1%, and comparable operating margin (non-GAAP) was 34.7%. Operating margin performance included items impacting comparability as well as currency headwinds. Comparable operating margin (non-GAAP) expansion was driven by organic revenue (non-GAAP) growth, the timing of marketing investments and effective cost management, partially offset by currency headwinds.

- **Earnings per share:** EPS grew 58% to $0.88 and included the impact of an 11-point currency headwind. Comparable EPS (non-GAAP) grew 4% to $0.87 and included the impact of a 5-point currency headwind.

- **Market share:** The company gained value share in total nonalcoholic ready-to-drink (“NARTD”) beverages.

- **Cash flow:** Operating cash flow was negative $1.4 billion, which reflects $6.1 billion of the contingent consideration payment made during the first quarter in conjunction with the acquisition of fairlife, LLC (“fairlife”) in 2020 (“fairlife contingent consideration payment”). Free cash flow (non-GAAP) declined $5.5 billion versus the prior year, resulting in negative free cash flow (non-GAAP) of $2.1 billion. Free cash flow excluding the fairlife contingent consideration payment (non-GAAP) was $3.9 billion.

Company Updates

- **Uplifting consumer connections through brand-led marketing:** The company continued to drive consumer engagement, fueled by Trademark Coca-Cola and the global relaunch of the iconic “Share a Coke” campaign. Reimagined for the next generation, ”Share a Coke” taps into nostalgia with personalized bottles and cans to share with friends and family and serves as a reminder that Coca-Cola is for everyone. Rolled out across the Trademark Coca-Cola portfolio and amplified by connected packaging, the campaign returned on a larger scale, activated with approximately 10 billion bottles and cans in more than 120 countries with over 30,000 names tailored to local markets. The campaign contributed to single-serve transaction growth for the category, while Coca-Cola Zero Sugar achieved double-digit volume growth for the fourth consecutive quarter. In North America, the company also launched the “This is My Taste” campaign for Diet Coke, inspired by social media insights showing that consumers use a distinctive language, like “crispy” taste, to express their connection to the brand. The campaign contributed to growth in the quarter, marking Diet Coke’s fourth consecutive quarter of volume growth in North America, reinvigorating the brand and adding a new generation of consumers to its loyal following. As part of its ongoing innovation agenda, this fall in the United States, the company plans to launch an offering made with U.S. cane sugar to expand its Trademark Coca-Cola product range. This addition is designed to complement the company’s strong core portfolio and offer more choices across occasions and preferences.

- **Untapping opportunities through end-to-end revenue growth management ("RGM") capabilities:** The Coca-Cola system's RGM strategy helps to ensure it has the right products, in the right packages, at the right price points, in the right channels, with the right messages to meet consumer needs. The company, in partnership with its bottling partners, is transforming its trove of data into segmented insights to identify new opportunities in the market and create more transactions at the point of sale. For example, within the juice drinks category, the company has added more than 130 million transactions year-to-date by focusing on lower-cost single-serve offerings in markets that include Latin America and India, where consumers are looking for commercial beverages at affordable prices. Additionally, in Spain, volume improved sequentially, partially by pairing sparkling soft drinks in an affordable 1.25-liter package with enhanced point-of-sale materials communicating the value and drinking occasion. The strategy of utilizing all RGM levers continues to allow the company to grow transactions ahead of volume and generate positive mix benefits, which has continued for the past several years.

Operating Review – Three Months Ended June 27, 2025

Revenues and Volume

Percent Change	Concentrate Sales[1]	Price/Mix	Currency Impact	Acquisitions, Divestitures and Structural Changes, Net	Reported Net Revenues	Organic Revenues[2]	Unit Case Volume[3]
Consolidated	**(1)**	**6**	**(3)**	**0**	**1**	**5**	**(1)**
Europe, Middle East & Africa	2	3	1	0	5	4	3
Latin America	(1)	15	(17)	0	(4)	13	(2)
North America	0	3	0	0	3	3	(1)
Asia Pacific	(5)	10	(2)	0	3	5	(3)
Bottling Investments	(2)	0	(4)	(3)	(8)	(2)	(5)

Operating Income and EPS

Percent Change	Reported Operating Income	Items Impacting Comparability	Currency Impact	Comparable Currency Neutral Operating Income[2]

Consolidated	**63**	**54**	**(6)**	**15**
Europe, Middle East & Africa	3	(3)	(1)	7
Latin America	4	(11)	(24)	38
North America	18	8	0	10
Asia Pacific	0	(4)	(5)	8
Bottling Investments	(39)	0	(4)	(35)

Percent Change	Reported EPS	Items Impacting Comparability	Currency Impact	Comparable Currency Neutral EPS[2]
Consolidated	**58**	**54**	**(5)**	**9**

Note: Certain rows may not add due to rounding.
[1] For Bottling Investments, this represents the percent change in net revenues attributable to the increase (decrease) in unit case volume computed based on total sales (rather than average daily sales) in each of the corresponding periods after considering the impact of structural changes, if any.
[2] Organic revenues, comparable currency neutral operating income and comparable currency neutral EPS are non-GAAP financial measures. Refer to the Reconciliation of GAAP and Non-GAAP Financial Measures section.
[3] Unit case volume is computed based on average daily sales.

In addition to the data in the preceding tables, operating results included the following:

Consolidated

- Unit case volume declined 1%, as growth in Central Asia, Argentina and China was more than offset by declines in Mexico, India and Thailand. Performance included the following:
    - Sparkling soft drinks declined 1%. Trademark Coca-Cola declined 1%, as growth in Europe, Middle East and Africa was more than offset by a decline in Latin America. Coca-Cola Zero Sugar grew 14%, driven by growth across all geographic operating segments. Sparkling flavors declined 2%, as growth in Europe, Middle East and Africa was more than offset by a decline in Asia Pacific.
    - Juice, value-added dairy and plant-based beverages declined 4%, as growth in Latin America was more than offset by a decline in Asia Pacific.
    - Water, sports, coffee and tea was even. Water was even, as growth in Asia Pacific and Europe, Middle East and Africa was offset by a decline in

Latin America. Sports drinks declined 3%, as growth in North America was more than offset by a decline in Latin America. Coffee grew 1%, primarily driven by growth in Asia Pacific. Tea was even, as growth in Europe, Middle East and Africa was offset primarily by a decline in North America.

- Price/mix grew 6%, primarily driven by pricing actions in the marketplace and favorable mix. The impact from markets experiencing intense inflation contributed less in the second quarter of 2025 versus the prior year. Concentrate sales were in line with unit case volume.

- Operating income grew 63%, which included items impacting comparability and currency headwinds. Comparable currency neutral operating income (non-GAAP) grew 15%, driven by organic revenue (non-GAAP) growth across all geographic operating segments, the timing of marketing investments and effective cost management.

Europe, Middle East & Africa

- Unit case volume grew 3%, primarily driven by growth in sparkling flavors, water, sports, coffee and tea, and Trademark Coca-Cola.

- Price/mix grew 3%, primarily driven by pricing actions in the marketplace, partially offset by unfavorable mix. Concentrate sales were 1 point behind unit case volume due to the timing of concentrate shipments.

- Operating income grew 3%, which included items impacting comparability and a 4-point currency headwind. Comparable currency neutral operating income (non-GAAP) grew 7%, primarily driven by organic revenue (non-GAAP) growth and the timing of operating expenses, partially offset by higher input costs and marketing investments.

- The company gained value share in total NARTD beverages, led by Türkiye, Nigeria and Egypt.

Latin America

- Unit case volume declined 2%, as growth in juice, value-added dairy and plant-based beverages was more than offset by declines in water, sports, coffee and tea and Trademark Coca-Cola.

- Price/mix grew 15%, driven by pricing actions in the marketplace, timing of investments and favorable mix. Concentrate sales were 1 point ahead of unit case volume due to the timing of concentrate shipments.
- Operating income grew 4%, which included items impacting comparability and a 29-point currency headwind. Comparable currency neutral operating income (non-GAAP) grew 38%, primarily driven by organic revenue (non-GAAP) growth, lower input costs and the timing of marketing investments.
- Value share in total NARTD beverages for the company was even, as gains in Argentina and Brazil were offset by declines in Mexico and Chile.

North America

- Unit case volume declined 1%, as growth in sparkling flavors was more than offset by a decline in Trademark Coca-Cola.
- Price/mix grew 3%, driven by pricing actions in the marketplace, partially offset by unfavorable mix. Concentrate sales were 1 point ahead of unit case volume due to the timing of concentrate shipments.
- Operating income grew 18%, which included items impacting comparability. Comparable currency neutral operating income (non-GAAP) grew 10%, primarily driven by organic revenue (non-GAAP) growth and effective cost management, partially offset by an increase in marketing investments.
- The company gained value share in total NARTD beverages, led by juice, value-added dairy and plant-based beverages.

Asia Pacific

- Unit case volume declined 3%, as growth in water, sports, coffee and tea was more than offset by declines in sparkling flavors and juice, value-added dairy and plant-based beverages.
- Price/mix grew 10%, driven by timing of investments, pricing actions in the marketplace and favorable mix. Concentrate sales were 2 points behind unit case volume due to the timing of concentrate shipments.
- Operating income was even, which included items impacting comparability and an 8-point currency headwind. Comparable currency neutral operating

income (non-GAAP) grew 8%, primarily driven by organic revenue (non-GAAP) growth.

- The company gained value share in total NARTD beverages, led by South Korea and the Philippines.

Bottling Investments

- Unit case volume declined 5%, largely due to a decline in India and the impact of refranchising bottling operations.
- Price/mix was even, as pricing actions in the marketplace were offset by unfavorable mix.
- Operating income declined 39%, which included a 4-point currency headwind and the impact of refranchising bottling operations. Comparable currency neutral operating income (non-GAAP) declined 35%, primarily driven by a decline in organic revenue (non-GAAP), partially offset by lower input costs.

Operating Review – Six Months Ended June 27, 2025

Revenues and Volume

Percent Change	Concentrate Sales[1]	Price/Mix	Currency Impact	Acquisitions, Divestitures and Structural Changes, Net	Reported Net Revenues	Organic Revenues[2]	Unit Case Volume[3]
Consolidated	**0**	**5**	**(4)**	**(1)**	**0**	**5**	**1**
Europe, Middle East & Africa	2	4	(3)	0	3	6	3
Latin America	(2)	15	(17)	0	(4)	13	(1)
North America	(2)	5	0	0	3	3	(2)
Asia Pacific	1	5	(4)	(2)	0	6	1
Bottling Investments	(2)	2	(3)	(11)	(14)	0	(12)

Operating Income and EPS

Percent Change	Reported Operating Income	Items Impacting Comparability	Currency Impact	Comparable Currency Neutral

				Operating Income[2]
Consolidated	**66**	**60**	**(6)**	**13**
Europe, Middle East & Africa	1	(3)	(3)	8
Latin America	0	(8)	(20)	28
North America	58	51	0	7
Asia Pacific	(2)	(6)	(4)	8
Bottling Investments	(30)	1	(4)	(27)

Percent Change	Reported EPS	Items Impacting Comparability	Currency Impact	Comparable Currency Neutral EPS[2]
Consolidated	**28**	**25**	**(5)**	**7**

Note: Certain rows may not add due to rounding.
[1] For Bottling Investments, this represents the percent change in net revenues attributable to the increase (decrease) in unit case volume computed based on total sales (rather than average daily sales) in each of the corresponding periods after considering the impact of structural changes, if any.
[2] Organic revenues, comparable currency neutral operating income and comparable currency neutral EPS are non-GAAP financial measures. Refer to the Reconciliation of GAAP and Non-GAAP Financial Measures section.
[3] Unit case volume is computed based on average daily sales.

Outlook

The 2025 outlook information provided below includes forward-looking non-GAAP financial measures, which management uses in measuring performance. The company is not able to reconcile full year 2025 projected organic revenues (non-GAAP) to full year 2025 projected reported net revenues, full year 2025 projected comparable net revenues (non-GAAP) to full year 2025 projected reported net revenues, full year 2025 projected underlying effective tax rate (non-GAAP) to full year 2025 projected reported effective tax rate, full year 2025 projected comparable currency neutral EPS (non-GAAP) to full year 2025 projected reported EPS, or full year 2025 projected comparable EPS (non-GAAP) to full year 2025 projected reported EPS without unreasonable efforts because it is not possible to predict with a reasonable degree of certainty the exact timing and exact impact of acquisitions, divestitures and structural changes throughout 2025; the exact timing and exact amount of items impacting comparability throughout 2025; and the exact impact of fluctuations in foreign currency exchange rates throughout 2025. The unavailable information could have a significant impact on the company's full year 2025 reported financial results.

Full Year 2025

Based on the current macroenvironment, the company is providing the following full year guidance.

The company expects to deliver organic revenue (non-GAAP) growth of 5% to 6%. — No Update

For comparable net revenues (non-GAAP), the company expects a 1% to 2% currency headwind based on the current rates and including the impact of hedged positions, in addition to an approximate 1% headwind from acquisitions, divestitures and structural changes. — Updated

The company's operations are primarily local, however, they are subject to global trade dynamics that may impact certain components of the company's cost structure across its markets. At this time, the company expects the impact to be manageable. — No Update

The company's underlying effective tax rate (non-GAAP) is estimated to be 20.8% versus 18.6% in 2024. This includes the impact of several countries enacting the global minimum tax regulations and does not include the impact of ongoing tax litigation with the U.S. Internal Revenue Service, if the company were not to prevail. — No Update

The company expects to deliver comparable currency neutral EPS (non-GAAP) growth of approximately 8%. — Updated

The company expects comparable EPS (non-GAAP) growth of approximately 3% versus $2.88 in 2024. — Updated

Comparable EPS (non-GAAP) percentage growth is expected to include an approximate 5% currency headwind based on the current rates and including the impact of hedged positions, in addition to an approximate 1% headwind from acquisitions, divestitures and structural changes. — Updated

The company expects to generate free cash flow excluding the fairlife contingent consideration payment (non-GAAP) of approximately $9.5 billion. This consists of cash flow from operations excluding the fairlife contingent consideration payment (non-GAAP) of approximately $11.7 billion, less capital expenditures of approximately $2.2 billion. — No Update

Third Quarter 2025 Considerations — New

Comparable net revenues (non-GAAP) are expected to include an approximate 1% currency headwind based on the current rates and including the impact of hedged positions.

Comparable EPS (non-GAAP) percentage growth is expected to include a 5% to 6% currency headwind based on the current rates and including the impact of hedged positions.

Notes

- All references to growth rate percentages and share compare the results of the period to those of the prior year comparable period, unless otherwise noted.
- All references to volume and volume percentage changes indicate unit case volume, unless otherwise noted. All volume percentage changes are computed based on average daily sales unless otherwise noted. “Unit case” means a unit of measurement equal to 192 U.S. fluid ounces of finished beverage (24 eight-ounce servings), with the exception of unit case equivalents for Costa non-ready-to-drink beverage products, which are primarily measured in number of transactions. “Unit case volume” means the number of unit cases (or unit case equivalents) of company beverages directly or indirectly sold by the company and its bottling partners to customers or consumers.
- “Concentrate sales” represents the amount of concentrates, syrups, beverage bases, source waters and powders/minerals (in all instances expressed in unit case equivalents) sold by, or used in finished beverages sold by, the company to its bottling partners or other customers. For Costa non-ready-to-drink beverage products, “concentrate sales” represents the amount of beverages, primarily measured in number of transactions (in all instances expressed in unit case equivalents), sold by the company to customers or consumers. In the reconciliation of reported net revenues, “concentrate sales” represents the percent change in net revenues attributable to the increase (decrease) in concentrate sales volume for the geographic operating segments after considering the impact of structural changes, if any. For the Bottling Investments operating segment, this represents the percent change in net revenues attributable to the increase (decrease) in unit case volume computed based on total sales (rather than average daily sales) in each of the corresponding periods after considering the impact of structural

changes, if any. The Bottling Investments operating segment reflects unit case volume growth for consolidated bottlers only.

- “Price/mix” represents the change in net operating revenues caused by factors such as price changes, the mix of products and packages sold, and the mix of channels and geographic territories where the sales occurred.
- First quarter 2025 financial results were impacted by two fewer days as compared to first quarter 2024, and fourth quarter 2025 financial results will be impacted by one additional day as compared to fourth quarter 2024. Unit case volume results for the quarters are not impacted by the variances in days due to the average daily sales computation referenced above.

Conference Call

The company is hosting a conference call with investors and analysts to discuss second quarter 2025 operating results today, July 22, 2025, at 8:30 a.m. ET. The company invites participants to listen to a live webcast of the conference call on the company’s website, http://www.coca-colacompany.com, in the “Investors” section. An audio replay in downloadable digital format and a transcript of the call will be available on the website within 24 hours following the call. Further, the “Investors” section of the website includes certain supplemental information and a reconciliation of non-GAAP financial measures to the company’s results as reported under GAAP, which may be used during the call when discussing financial results.

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